

China Battery Materials

A reconciliation between tepid EV sales vol and strong battery installation

CITI'S TAKE

Monthly battery installation data pack from Real Lithium suggests that 1H26 vehicle battery installation in China was +33% YoY to ~451.6 GWh. Within that, battery installation of EV-PV / PHEV-PV / commercial vehicle was up by 20%, 27%, and 94% YoY respectively. We reconcile the tepid EV sales vol (+10% YoY) and strong battery installation (+33% YoY) in 1H26, and believe it's attributable to (1) the continuing battery upsizing trend across the board (including both passenger vehicle and commercial vehicle), (2) rising commercial vehicle, and (3) higher exposure to the high-end class passenger vehicle. CATL continues to be the market leader and kept taking market share during the period, whereas its market share was up by 3ppt YoY to 45% during 6M26. We maintain our near-term bullish call on lithium carbonate price into Aug/Sep peak season. Top picks Ganfeng, Yuneng, CATL.

What's going on YTD - According to Real Lithium, vehicle battery installation in China totaled 451.6 GWh, +33% YoY. CATL's (excl CATL-SAIC JV) market share was up by 3ppt YoY to 45% during 6M26, whilst BYD's market share was down by 7ppt to 20% in the meantime vs 27% in 6M25. Top-2 battery makers took up 65% market share during 6M26, -4ppt YoY from 69% in 6M25.

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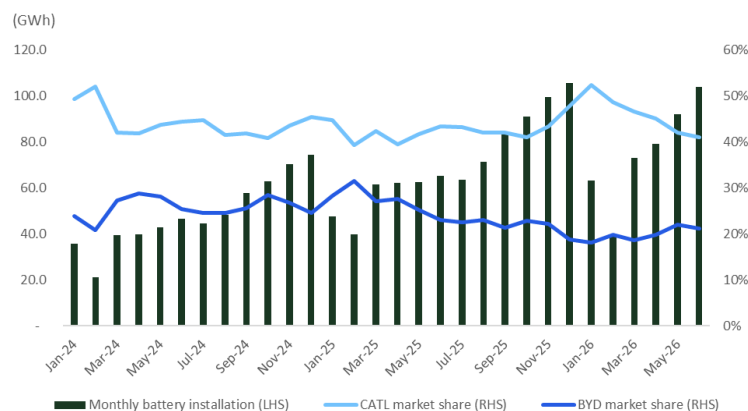
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Figure 1. CATL and BYD continued dominating the market



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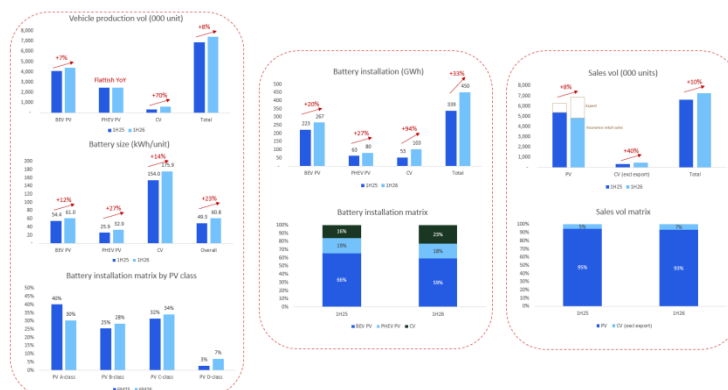
Source: Citi Research, Real Lithium

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A reconciliation between tepid EV sales vol and strong battery installation – Battery installation was up by 33% YoY in the first half of 2026, showcasing the decent momentum albeit EV sales volume (incl both passenger vehicle and commercial vehicle) was only up by 10% YoY in the meantime. This is mainly attributable to (1) a continuous battery upsizing across the board whereas the battery size of EV-PV, PHEV-PV, and commercial vehicle was up by 12%, 27%, and 14% YoY respectively in 1H26, (2) rising commercial vehicle importance to take up ~23% of 1H26 battery installation, vs 16% in 1H25, (3) passenger vehicle is shifting to the high-end market whereas A-class PV % of battery installation was down from 40% in 1H25 to 30% during 1H26 whilst B/C/D-class PV % are increasing in the meantime.

Figure 2. A reconciliation between tepid EV sales vol and strong battery installation



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Source: Citi Research, Real Lithium

Figure 3. Who supplies to whom

(MM)	CATL	BYD	CALB	Gotion	EVE Energy	Zemmy	Renke Energy	SVOLT	Sunwoda	LGES (China)	Others	Total
BYD		75,754										75,754
Geely	23,554											23,554
SAIC Motor	6,269	14	1,167	4,423	1,410		586	911	146		8,664	34,375
Tesla	21,684				22	3,523	7,436	12	3,130		9,537	31,220
Dongfeng	13,473	258	975	693	416	225	1,580	1,261	4,033		1,426	24,342
Longmax	4,129		2,655		4,911	550	7,271	8	3,138	139		21,653
Changan	17,913		1,080	1,673	205							21,107
Chery	6,455	11	2,867	7,854	67							17,814
NIO	14,267	1,028		652					1,267			17,630
GAC Group	3,525		7,486			989	1,507					17,434
Xinomi	12,047	4,920										16,968
BAIC Group	13,913		78	1,684								15,619
LI Auto						3,216		55	3			14,114
FAW	7,085		761	1,103	329	615			592			12,914
Seres Group	11,737		34	78								12,919
Sheny		3,694				2,939						10,442
XPENG	5,824	1,883	362			3		403	350			9,888
SINO TRUK	6,384	961	1,650	2		6		260				9,458
Sany Group	3,020		181	362	1,663			1,558				8,181
Great Wall	1,250			6				5,015				6,271
Others	20,564	2,584	806	3,728	5,478	2	823	56	259			34,865
Total	203,908	96,188	26,962	25,008	12,344	13,143	13,017	10,296	9,854	9,507	36,331	451,619

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Source: Citi Research, Real Lithium

Companies Mentioned:

BAIC Motor (1958.HK; HK\$0.89; 2; 29 Jul 26; 16:10) | BYD (1211.HK; HK\$93.6; 1; 29 Jul 26; 16:10) | BYD (002594.SZ; Rmb94.85; 1; 29 Jul 26; 15:00) | CALB Group Co Ltd (3931.HK; HK\$16.87; 1; 29 Jul 26; 16:10) | CATL (300750.SZ; Rmb396.84; 1; 29 Jul 26; 15:00) | CATL (3750.HK; HK\$619.5; 1; 29 Jul 26; 16:10) | Chery (9973.HK; HK\$26.74; 1; 29 Jul 26; 16:10) | Chongqing Changan Automobile (000625.SZ; Rmb7.52; 2; 29 Jul 26; 15:00) | Eve Energy (300014.SZ; Rmb53.22; 1; 29 Jul 26; 15:00) | FAW Jiefang Group Co Ltd (000800.SZ; Rmb6.37; Not Rated; 29 Jul 26; 15:00) | Ganfeng Lithium (002460.SZ; Rmb49.92; 1; 29 Jul 26; 15:00) | Ganfeng Lithium (1772.HK; HK\$38.56; 1; 29 Jul 26; 16:10) | Geely Automobile (0175.HK; HK\$20.3; 1; 29 Jul 26; 16:10) | Gotion High Tech (002074.SZ; Rmb28.29; 1; 29 Jul 26; 15:00) | Great Wall Motor (601633.SS; Rmb16.62; 3; 29 Jul 26; 15:00) | Guangzhou Automobile (2238.HK; HK\$2.35; 2; 29 Jul 26; 16:10) | Hunan Yuneng New Energy Battery Material (301358.SZ; Rmb64.6; 1; 29 Jul 26; 15:00) | Leapmotor (9863.HK; HK\$42.18; 1; 29 Jul 26; 16:10) | LG Energy Solution (373220.KS; W300500.0; 1; 29 Jul 26; 15:45) | Li Auto (LI.O; US\$13.21; 2; 28 Jul 26; 16:00) | NIO (9866.HK; HK\$38.3; 1; 29 Jul 26; 16:10) | SAIC Motor (600104.SS; Rmb10.77; 2; 29 Jul 26; 15:00) | Seres Group (601127.SS; Rmb58.0; 3; 29 Jul 26; 15:00) | Sinotruk (Hong Kong) (3808.HK; HK\$41.9; 1; 29 Jul 26; 16:10) | Sunwoda Electronic Co Ltd (300207.SZ; Rmb19.11; Not Rated; 29 Jul 26; 15:00) | Tesla (TSLA.O; US\$307.44; Not Rated; 28 Jul 26;

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